
JAPAN
2005

1. Overview of the system

Unemployed persons can receive an unemployment insurance benefit (basic allowance) for a period varying with the reason of job separation, the age and the employment record of the claimant. As long as they satisfy certain conditions, social assistance is also available for persons with limited means; it includes a housing aid. Income tested family benefits can be obtained, as well as means-tested lone parent benefits. Income-related child-care costs are paid for children under 6. Central and local government taxation is individual.

1.1. Average wage (AW)¹

The 2005 AW earnings level is JPY 4 978 855. It is assumed that 80 per cent of this amount is in standard earnings, and 20 per cent is in the form of an annual bonus.

2. Unemployment insurance

2.1 Conditions for receipt

2.1.1 Employment conditions

Minimum of 6 months of insured work in the last 12 months, with minimum 14 days of work per month.

2.1.2 Contribution conditions

As described in section 2.1.1.

2.2 Calculation of benefit amount

2.2.1 Calculation of gross benefit

The basic allowance is calculated from the daily amount of wages (DAW). DAW is the amount obtained by dividing the total amount of wages, excluding bonuses, paid during the last 6 months by 180 days.

Benefit ratio is calculated as below since August.

¹ AW refers to the Average Wage estimated by the Centre for Tax Policy and Administration (www.oecd.org/ctp). For more information on methodology see Taxing Wages 2004-2005, OECD, 2005, part 5, sections 2 and 3.

A benefit ratio (BR) is then calculated for those under 60 years old, with the following formula:

- i) If $2\,110 \leq \text{DAW} < 4\,160$ BR = 0.8
- ii) If $4\,160 \leq \text{DAW} < 12\,060$ BR = $0.8 + [(0.3 * (4\,160 - \text{DAW})) / (12\,060 - 4\,160)]$
- iii) If $12\,060 \leq \text{DAW} < \text{Maximum Amount}$ BR = 0.5
- iv) If $\text{DAW} < 2\,110$ or $\text{DAW} \geq \text{Maximum Amount}$.
The daily amount of basic allowance is fixed at $2\,110 * 0.8$ and the $\text{Maximum Amount} * 0.5$ respectively.

The maximum amount of DAW

Age	In JPY
- 29	13 160
30 - 44	14 620
45 - 59	16 080

BR for recipients who are equal to or over 60 but under 65 is calculated with the following formula:

- i) If $2\,110 \leq \text{DAW} < 4\,160$ BR = 0.8
- ii) If $4\,160 \leq \text{DAW} < 10\,810$ BR = $0.8 + [(0.35 * (4\,160 - \text{DAW})) / (10\,810 - 4\,160)]$
- iii) If $10\,810 \leq \text{DAW} < 15\,370$ BR = 0.45
- iv) If $\text{DAW} < 2\,110$ or $\text{DAW} \geq 15\,370$
The daily amount of basic allowance is fixed at $2\,110 * 0.8$ and $15\,370 * 0.45$ respectively.

2.2.2 *Income and earnings disregards*

It is not means-tested, and the benefit stops when the recipient gets employed or starts his/her own job. Means-tested social assistance can complement the unemployment benefit.

2.3 *Tax treatment of benefit and interaction with other benefits*

Tax treatment of benefit : Not taxable.

Interaction with other benefits : None.

2.4 *Benefit duration*

It is paid on a 7-day week basis, after a 7-day waiting period, for a period that varies from 90 to 360 days according to the period of employment insured, the age of the recipient and the reason of job separation, as follows:

Duration of benefits for the ordinary unemployed	
Classification	Insured period (in years)

	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
All ages	90 days		90 days	120 days	150 days

Duration of benefits for persons difficult to re-employ

Age	Insured period (in years)				
	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
Younger than 45			300 days		
45 – 64	150 days		360 days		

Duration of benefits for the unemployed as a result of bankruptcy, dismissal, etc.

Age	Insured period (in years)				
	Less than 1	1 to 4	5 to 9	10 to 19	20 or more
Younger than 30	90 days	90 days	120 days	180 days	—
30 – 34	90 days	90 days	180 days	210 days	240 days
35 – 44	90 days	90 days	180 days	240 days	270 days
45 – 59	90 days	180 days	240 days	270 days	330 days
60 – 64	90 days	150 days	180 days	210 days	240 days

A unique feature in the unemployment benefit system is the re-employment allowance: a lump-sum amount is paid to an unemployment benefit recipient, whose remaining duration of benefits of basic allowance is one-third or more of the prescribed duration of benefit and 45 days or more, and who takes up steady employment or starts his/her own job. The amount of this allowance is equal to the remaining benefit period $\times 0.3 \times$ the daily amount of basic allowance.

2.5 Treatment of particular groups

2.5.1 Young persons

None.

2.5.2 Older workers

When older workers equal to or over 65 lose their job, the benefits for them are paid as a lump sum since August.

Insured employment (years)	The benefit amount (JPY)
Less than 1	30 daily benefit of basic allowance

1 — 50 daily benefit of basic allowance

The daily amount of basic allowance is calculated the same as that of recipients under 30 years old.

2.5.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

3. Unemployment assistance

None.

3.1 Conditions for receipt

3.1.1 *Employment conditions*

3.1.2 *Contribution conditions*

3.2 Calculation of benefit amount

3.2.1 *Calculation of gross benefit*

3.2.2 *Income and earnings disregards*

3.3 Tax treatment of benefit and interaction with other benefits

3.4 Benefit duration

3.5 Treatment of particular groups

3.5.1 *Young persons*

3.5.2 *Older workers*

3.5.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

4. **Social assistance**

Social assistance consists of eight types of aids provided for those who are unable to provide minimum living standards. These are: livelihood aid, housing aid, medical aid, long-term care aid, occupational aid, education aid, maternity aid, and funeral aid. Only livelihood aid and housing aid are considered here. The selected rates are classified as Grade 1-1, as paid in Osaka and Tokyo.

4.1 **Conditions for receipt**

It is tested against gross earned income.

4.2 **Calculation of benefit amount**

4.2.1 *Calculation of gross benefit*

Livelihood aid is composed of two types of benefit:

- Personal expenses (Category 1) are related to the age of each family member:
- For a family of four (e.g. married couple with two children), personal expenses are multiply by a reduction rate of 0.98 for each family member.

Age	Benefit amount for region (Grade 1-1) (JPY per month)
0-2	20900
3 – 5	26350
6 - 11	34070
12 19	42080
20 - 40	40270
41 - 59	38180
60 - 69	36100
70	32340

- Household expenses (Category 2) are related to the number of family members:

Number of family members	1	2	3	4 + X
Basic amount (in JPY per month)	43430	48070	53290	55160+ 440 X

The maximum amount of livelihood aid is calculated by summing up amounts of Category 1 for each family member and amounts of Category 2.

A housing aid is also available.

Number of family members	1	2-	7-
Basic amount (in JPY per month)	53700	69800	83800

4.2.1.1 Irregular additional payments

Winter supplementary assistance (in Tokyo, in JPY per month) is provided 5 months in a year (from November to March).

	year	1 person	2	3	4	5 and more amount to add per 1 increase
13	2001	3,130	4,060	4,840	5,490	200
14	2002	3,130	4,060	4,840	5,490	200
15	2003	3,090	4,010	4,780	5,420	200
16	2004	3,090	4,000	4,770	5,410	200
17	2005	3,090	4,000	4,770	5,410	200
18	2006	3,090	4,000	4,770	5,410	200
19	2007	3,090	4,000	4,770	5,410	200
20	2008	3,090	4,000	4,770	5,410	200
21	2009	3,090	4,000	4,770	5,410	200

4.2.2 Income and earnings disregards

Earnings net of tax and social security contributions up to JPY 8 340 per month are disregarded. From this level, social assistance is reduced by earnings net of tax and social security contributions exceeding a threshold which increases with earnings. The monthly disregard is assumed to increase proportionally with gross earnings. The monthly amounts are as follows for the same region (Grade 1-1) as for personal expenses:

Monthly gross earnings X (JPY)	Monthly threshold Y (JPY)
0 – 8 340	0 – 8 340

8 340 – 92 000	8 340 – 22 570
92 000 – 240000	22 570 – 33190
240000+	33190

4.3 Tax treatment of benefit and interaction with other benefit

Tax treatment of benefit : Not taxable.

Interaction with other benefits : None.

4.4 Benefit duration

As long as the conditions are fulfilled.

4.5 Treatment of particular group

None.

4.5.1 Young persons

4.5.2 Older workers

4.5.3 Others if applicable

5. Housing benefits

None.

5.1 Conditions for receipt

5.2 Calculation of benefit amount

5.2.1 Calculation of gross benefit

5.2.2 Income and earnings disregards

5.3 *Tax treatment of benefit and interaction with other benefits*

5.4 *Treatment of particular groups*

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

6. *Family benefits*

6.1 *Conditions for receipt*

The benefit is income-tested. It is paid for a child yet to pass through third-grade age of elementary school (9 years old).

6.2 *Calculation of benefit amount*

6.2.1 *Calculation of gross benefit*

JPY 5 000 per month per child for the first two children, and JPY 10 000 per month per child for the third and subsequent children.

6.2.2 *Income and earnings disregards*

It is paid if the annual gross income (※) minus the employment income deduction (see section 10.1) is lower than JPY 3.01 million (JPY 4.6 million for employees) plus JPY 380 000 per dependent.

(※) = income of the person who mainly supports children eligible for the benefit.

(ex. income of either parents whose income is higher than the other)

6.3 *Tax treatment of benefit and interaction with other benefits*

Tax treatment of benefit : Not taxable.

Interaction with other benefits : None

6.4 *Treatment of particular groups*

As long as the conditions are fulfilled.

6.4.1 *Young persons*

None.

6.4.2 *Older workers*

None.

6.4.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

None.

7. **Childcare for pre-school children**

[NEW SECTION]

[what is the fraction of children in childcare (by age and type of childcare if available)?]

[at what age does compulsory schooling start?]

Day-care centres are available for the children whose parents are unable to look after their children because of work, illnesses, etc. The children who are in that condition can use day-care centres from 0 to 6 years old before entering elementary schools. In Japan, compulsory schooling starts in April after children become 6 years old.

7.1 *Out-of-pocket childcare fees paid by parents*

[What are the typical or average fees paid by parents for full-time formal centre-based care? Could a parent working 40 hours per week expect to pay this fee? If not, what additions/reductions would be appropriate for someone requiring 40 hours of care per week (8 hours per day)?]

[what do rates depend on, eg. parents' status or income, number and ages of children in care or type of care institution? If fees are dependent on any of these, please include a detailed description of how fees might be calculated.]

[are amounts averages or legislated? If averages, which circumstances do they cover (region, age, full/part-time)?]

[are childcare fees tax deductible?]

[are fees taken into account when determining entitlement to benefits such as social assistance?]

The amount of the payment of each user varies each other because the fee for day care is calculated according to parents' previous income tax or municipal tax. But total cost for full-time formal centre-based care is covered not only with the fees paid by parents working 40 hours per week. Public sector including the nation bears about 60 % of the cost.

The fees for day care depend on parents' previous income tax or municipal tax. The nation presents the standard classification of accounts that shows the fees for day care. (see the list held at section 7.2.2.1.) Each municipal government configures the fee according to the list.

Childcare fees are not tax deductible, but they are exempt from the fees when they are eligible to social assistance under Public Assistance Law.

7.2 *Child-care benefits*

[cash benefits received by parents for children in childcare]

There are no child-care benefits, but a system of mainly income related child-care costs exists.

7.2.1 *Conditions for application*

They can apply to use day-care centres if they have preschool children and are in the condition not to be able to care their children due to work, illness and so on. The cost is income related: it increases with local and central income tax (see tax system in section 10)

7.2.2 *Calculation of benefit amount*

7.2.2.1 *Calculation of gross benefit*

Municipal child-care is available. The following is used as the standard for calculating the amount of government subsidy to each municipality. The more income tax a family pays, the bigger the contribution to the child-care costs:

Standard child-care cost per child (JPY per month)

Category*	Income tax position (JPY per year)	Age of child (in years)	
		< 3	3 <
1	Eligible to social assistance	0	0
2	No local tax	9 000	6 000
3	Local tax	19 500	16 500
	Central tax		
4	- 64 000	30 000	Actual cost (< 27 000)
5	64 000 - 160 000	44 500	Actual cost (< 41 500)
6	160 000 - 408 000	61 000	Actual cost (< 58 000)
7	408 000 +	Actual cost (< 80 000)	Actual cost (< 77 000)

* Categories 2, 3 exclude cases which fall into categories 1, 4-7.
Categories 4-7 exclude cases which fall into category 1.

7.2.2.2 Income and earnings disregards

Local and central income tax are taken into consideration, there are no disregards.

7.2.3 *Tax treatment of benefit and interaction with other benefits*

The implicit benefit is not taxable.

It isn't charged consumption tax to enjoy the services of formal day-care centres. And using a day-care centre has no interaction with other benefits.

7.2.4 *Treatment of particular groups*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

A child of a single parent is taken into consideration to be given priority for entering a day-care centre. A child of a family needed a special assistance is also given priority consideration.

8. **Employment-conditional benefits**

Re-employment allowance (see section 2.4).

Note that removal expenses are provided for persons who have to move after having obtained a job or a training introduced by the Public Employment Security Office.

8.1 ***Conditions for receipt***

Re-employment allowance is paid to an unemployment benefit recipient, whose remaining duration of basic allowance of unemployment benefit is one-third or more of the prescribed duration of benefit and 45 days or more, and who takes up steady employment or starts his/her own job.

8.2 ***Calculation of benefit amount***

8.2.1 *Calculation of gross benefit*

The amount of re-employment allowance is equal to the remaining unemployment benefit period $\times$ $0.3 \times$ the daily amount of basic allowance of unemployment benefit.

8.3 ***Tax treatment of benefit and interaction with other benefits***

Re-employment allowance is not taxable.

When re-employment allowance is paid to an unemployment benefit recipient, the benefit for older job-seekers (see section 2.5.2) is not paid to him/her.

8.4 *Benefit duration*

Re-employment allowance is paid as a lump sum.

8.5 *Treatment of particular group*

None.

8.5.1 *Young persons*

8.5.2 *Older workers*

8.5.3 *Others if applicable*

[e.g. lone parents, immigrants, part-time employees, self-employed, disabled]

9. *Lone-parent benefits*

9.1 *Conditions for receipt*

To be a lone parent, and to have a child who has not yet reached his/her 18th birthday by 31 March of the given year.

9.2 *Calculation of benefit amount*

9.2.1 *Calculation of gross benefit*

Number of children	1	2 + X
Basic amount (in JPY per month)	41 880	46 880+ 3 000 X

9.2.2 *Income and earnings disregards*

Means-tested.

Gross annual income minus the employment income deduction (see section 10) minus JPY 80 000 - the Income-tested thresholds are based on the number of dependents.

For female lone parents and foster parents(*) whose earnings of the previous year were less than JPY 1.717 million, monthly allowance is granted of JPY 41 880 in case of one child, JPY 46 880 in

case of two children, and for third child and up additional JPY 3 000 for each child. For such persons(**) whose earnings of the previous year were more than JPY 1.717 million but less than JPY 4.125 million, monthly allowance is reduced between JPY 10 and 32,000 according to income.

* foster parents : persons who foster children(live with them, look after them and make their living) ,in case they have no mothers or their mothers don't look after them.

* * such persons : female lone parents and foster parents (in the first sentence)

If the income of the previous year exceeds JPY 4.125 million , the allowance of the year will not be paid.

Monthly allowance=(Annual earnings JPY –JPY 1,300,000)*0.0184913 + JPY 10

9.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

9.4 *Benefit duration*

As long as the conditions are fulfilled.

9.5 *Treatment of particular groups*

None.

9.5.1 *Young persons*

None.

9.5.2 *Older workers*

None.

9.5.3 *Others if applicable*

[e.g. immigrants, part-time employees, self-employed, disabled]

None.

10. Tax system

10.1 Income tax rate schedule

10.1.1 Tax allowances and credits for central government income tax

There are no tax credits. The tax allowances are as follows:

- *Basic allowance:* a taxpayer may deduct JPY 380 000 as basic allowance from his or her income
- *Allowance for spouse:* allowance equal to JPY 380 000 is given to a resident taxpayer who has a spouse, provided certain requirements are met
- *Allowance for dependents:* if a resident taxpayer has children and other relatives who meet the same requirements as for a spouse mentioned above, an allowance of JPY 380 000 is given for each dependent
- *Special allowance for dependents:* if a resident taxpayer has dependents who meet the requirement mentioned above and who are between 16 and 22 years old, an allowance of JPY 630 000 is given for each dependent instead of the allowances for dependents mentioned above.
- *Deduction for social insurance premiums:* the amount of social insurance premiums for a resident taxpayer or his/her dependents shall be deducted from his/her income without any ceiling
- *Employment income deduction:* the following amounts may be deducted from the income in calculating taxable income:
 - If income received does not exceed JPY 1 800 000 the deduction is 40 per cent of salaries etcetera, but the minimum amount deductible is JPY 650 000.
 - If income received exceeds JPY 1 800 000, but not JPY 3 600 000, the deduction is JPY 180 000 plus 30 per cent of salaries etc...
 - If income received exceeds JPY 3 600 000, but not JPY 6 600 000, the deduction is JPY 540 000 plus 20 per cent of salaries etc...
 - If income received exceeds JPY 6 600 000, but not JPY 10 000 000, the deduction is JPY 1 200 000 plus 10 per cent of salaries etc...
 - If income received exceeds JPY 10 000 000, the deduction is JPY 1 700 000 plus 5 per cent of salaries etc...

10.1.1.1 Standard allowances

10.1.1.2 Standard tax credits

10.1.2 Income tax schedule

Taxable Income (JPY)	Tax Rate (%)	Deductible Amounts for Each Bracket
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		(A)	(JPY) (B)
Over	Not over		
	3 300 000	10	
3 300 000	9 000 000	20	330 000
9 000 000	18 000 000	30	1 230 000
18 000 000		37	2 490 000
0			
Proportional Tax Reduction (C) : 20 per cent of calculated amount (ceiling: JPY 250 000)			

Tax liability is obtained by multiplying the taxable income by tax rate (A) and deducting the amount (B). In addition, Proportional Tax Reduction (C) is granted from 1999. From 2006, the rate of the reduction will be reduced from 20 per cent to 10 per cent and the ceiling will be reduced from JPY 250 000 to JPY 125 000.

For example, income tax due on taxable income of JPY 7 million is:

$$7\,000\,000 \times 0.20 \text{ (A)} - 330\,000 \text{ (B)} - 214\,000 \text{ (C)} = \text{JPY } 856\,000.$$

10.1.3 State and local income taxes

1.21. General description of the system

State and local income taxes in Japan consist of prefectural inhabitants tax levied by prefectures and municipal inhabitants tax levied by cities, towns and villages. The prefectural inhabitants tax is collected together with the municipal inhabitants tax by cities, towns and villages.

1.22. Tax base

The base for prefectural and municipal inhabitants' taxes is taxable income augmented by a fixed per capita amount. The taxable income is similar to the one computed for the purpose of the previous year's national income tax (see below).

Note: Calculation of income for local inhabitants' taxes is slightly different from the one for the national income tax. For example, the amount of Basic Allowance, Allowance for Spouse, Allowance for Dependents is JPY 330 000, the amount of Special Allowance for dependants is JPY 450 000, etc.

1.23. Tax rate

- The standard per capita tax rate of Prefectural inhabitants' tax is JPY 1 000.
- The standard per capita tax rate of Municipal inhabitants' tax is JPY 3 000.
- The standard rate of Prefectural and Municipal inhabitants' tax is as follows:

Taxable Income (JPY)	Tax Rate (%)	Deductible Amounts for Each Bracket (JPY)
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		(A)	(B)
[Prefectural inhabitants' tax]			
Over	Not over		
	7 000 000	2	--
7 000 000	--	3	70 000
[Municipal inhabitants' tax]			
Over	Not over		
	2 000 000	3	--
2 000 000	7 000 000	8	100 000
7 000 000	--	10	240 000
Proportional Tax Reduction (C) : 15 % of calculated amount (ceiling: JPY 40 000)			

Tax liability is obtained by multiplying the taxable income by tax rate (A) and deducting the amount (B). In addition, Proportional Tax Reduction (C) is granted from FY 1999. From FY 2006, the rate of the reduction will be reduced from 15 per cent to 7.5 per cent and the ceiling will be reduced from JPY 40 000 to JPY 20 000.

For example, income tax due on taxable income of JPY 3 million is:

$$3\,000\,000 \times (0.02 + 0.08)(A) - 100\,000 (B) - 30\,000 (C) = \text{JPY } 170\,000.$$

10.2 *Treatment of family income*

The tax unit is the individual, couples are taxed separately.

10.3 *Social security contribution schedule*

[please indicate employee's insurance contributions that are compulsory but not regarded as a tax, if applicable]

- Pension: 6.967 per cent of gross earnings up to JPY 620000(monthly).
- Sickness: 4.1 per cent of gross earnings up to JPY 980000(monthly).
- Unemployment: 0.8 per cent of gross earnings.

10.4 *Treatment of particular group*

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

[e.g. **part-time employees**]

11. Part-time work

11.1 *Benefit rules for part-time work*

Minimum of 12 consecutive months of insured work in the last 24 months (with minimum 20 hours of work per week) to be eligible for unemployment benefits.

11.2 *Special tax and social security contribution rules for part-time work*

None.

12 Policy developments

None.

12.1 *Policy changes introduced during the previous year*

12.2 *Policy changes announced*